

Module 11

Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1

HKFRS 3 *Business Combinations* defines a business as an integrated set of activities and assets that is capable of being conducted and managed for the purpose of:

- providing goods (or services) to customers,
- generating investment income, or
- generating other income from ordinary activities.

HKFRS 3 further states that to be considered a business, an integrated set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create output. Outputs are, however, not required for an integrated set to qualify as a business.

HKFRS 3 refers inputs to any economic resource that creates outputs. In this case, the non-current assets (such as the factory and warehouse), inventories, and employees were regarded as inputs in this acquisition.

Processes are defined in HKFRS 3 as any system, standard, protocol, convention or rule that when applied to an input (or inputs) creates outputs (or has the ability to contribute to the creation of outputs). Processes typically are documented, but the intellectual capacity of an organised workforce having the necessary skills and experience following rules and conventions may provide the necessary processes that are capable of being applied to inputs to create outputs.

In this case, the processes acquired refers to the management and operational processes through the retention of the organised workforce (such as the skilled designers) and acquiring the inventory management system.

HKFRS 3 further provides guidance on how to evaluate whether a process is substantive, differentiating between transactions with outputs and those with no outputs. In this case, since Helium has been generating revenue for years, it should be concluded that there are outputs as at the acquisition date. HKFRS 3 then states that if there are outputs as at the acquisition date, an acquired process is considered substantive where, either:

- the process is critical in continuing to produce outputs and the input includes an organised workforce with the necessary skills, knowledge or experience to perform that process; or
- the process significantly contributes to the ability to continue to produce outputs and is unique or scarce or cannot be replaced without significant cost.

The critical processes of a fashion manufacturer usually include design, sourcing and production which contribute to the production of high-quality apparel and accessories. In the acquisition of Helium, Galium acquired an organised workforce with the necessary skills, knowledge and experience to perform and supervise the abovementioned critical processes. It could therefore be concluded that substantive process was acquired and therefore acquiring Helium qualifies as a business in accordance with HKFRS 3.

Answer 2(a)

(W1): Fair value of net identifiable assets at the acquisition date	<u>HK\$ million</u>
Share capital	22,200
Retained earnings	42,200
Fair value adjustments – Intangible assets	900
Fair value of net identifiable assets	<u>65,300</u>
(W2): Goodwill arising from the Acquisition	<u>HK\$ million</u>
Consideration	45,850
Non-controlling interest (at fair value)	19,650
	<u>65,500</u>
Less: Fair value of net identifiable assets (W1)	<u>(65,300)</u>
Goodwill	<u>200</u>
(W3): Profit attributable to the non-controlling interest	
Share of profits of Helium	
(HK\$11,800 million x 30%)	3,540
Share of extra amortisation due to the fair value adjustment	
(HK\$900 million ÷ 3 x 30%)	(90)
	<u>3,450</u>
Dividends paid to non-controlling interest in Helium	
(HK\$19,650 million + 3,450 million (W3) – HK\$21,330 million)	1,770
Dividends received by Galium from Helium	
(HK\$1,770 million ÷ 30% x 70%)	<u>4,130</u>
(W4): Share of associate's profits (HK\$5,800 million x 40%)	2,320
Dividends received by Galium from Iodine	
(HK\$17,480 million – HK\$18,800 million + HK\$2,320 million (W4))	<u>1,000</u>

Answer 2(b)

	<u>HK\$ million</u>
<u>Cash flows from operating activities</u>	
Profit before tax	324,070
Adjustments for:	
Depreciation expense (HK\$100,030 million + HK\$54,200 million + HK\$185,080 million – HK\$254,810 million)	84,500
Amortisation expense (see Answer 2(a))	300
Impairment loss of goodwill (HK\$12,000 million + HK\$200 million (W2) – HK\$11,380 million)	820
Share of associate's profits (W4)	(2,320)
	<u>407,370</u>
Decrease in inventories (HK\$33,900 million + HK\$34,400 million – HK\$67,000 million)	1,300
Decrease in trade receivables (HK\$28,900 million + HK\$21,500 million – HK\$50,000 million)	400
Decrease in trade and other payables (HK\$84,300 million + HK\$61,000 million – HK\$143,620 million)	(1,680)
	<u>407,390</u>
Less: tax paid	<u>(52,270)</u>
Cash inflows from operating activities	355,120

Answer 3(a)

REPORT

1. Background

In the current year, Helium completed a significant revamp of its website ("Website") which was launched on 1 April 2025. Capitalising on this revamp, Helium has introduced a customer loyalty programme ("Scheme") aimed at improving customer retention. This report addresses the accounting issues emerging from these new business developments within Helium.

2. The Website revamp

HKAS 38 states that an intangible asset will be recognised if, and only if:

- it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
- the cost of the asset can be measured reliably.

The website arises from development and is an internally generated intangible asset. To assess whether an internally generated intangible asset meets the criteria for recognition, an entity classifies the generation of the asset into a research phase and a development phase. No intangible asset arising from the research phase will be recognised. An intangible asset arising from development will be recognised if, and only if, an entity can demonstrate all of the following:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- its intention to complete the intangible asset and use or sell it;
- its ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- its ability to measure reliably the expenditure attributable to the intangible asset during its development.

HK(SIC)-Int 32 *Intangible Assets – Website Costs* provides further guidance on how to apply the above principles to account for website costs. The critical issue is whether Helium can demonstrate how its website will generate probable future economic benefits. In accordance with HK(SIC)-Int 32, this criterion can be met when the website is capable of generating revenues, including direct revenues from enabling orders to be placed. This criterion, however, cannot be met, if the website developed is solely or primarily for promoting and advertising its own products and services. HKAS 38 (and supported by HK(SIC)-Int 32) states that expenditure on advertising and promotional activities will be recognised as an expense as incurred.

2.1 Costs of the Website establishment in 2020

The Website established in 2020 was used primarily for promoting and advertising its products and therefore the website development costs were recognised as expenses when incurred.

2.2 Development costs of the Website in the revamp in 2025

The costs associated with undertaking feasibility studies (HK\$80,000) are similar in nature to the research phase and should be recognised as an expense when they are incurred.

The costs associated with the development of the infrastructure of the Website including the online ordering system (HK\$950,000) are similar in nature to the development phase and could be recognised as an intangible asset, particularly in this case, the Website after the Revamp includes e-commerce functionalities which can be capable of generating revenues and such expenditures are directly attributed to preparing the Website for it to be capable of operating.

The monthly maintenance costs are recognised as an expense when incurred, as these costs are likely to maintain the future economic benefits embodied in the Website rather than meet the definition of an intangible asset and the recognition criteria set out in HKAS 38.

It should be noted that HKAS 38 prohibits reinstatement of expenditure previously recognised as an expense. Therefore, Helium could not recognise those website development costs in 2020 as part of the cost of an intangible asset in 2025.

Answer 3(b)

3. The Scheme

With reference to HKFRS 15 *Revenue from Contracts with Customers*, the introduction of the Scheme will affect the revenue recognition when Helium sells its products to customers. Particularly, the Scheme will pose impacts to the following three steps in the five-step revenue recognition model.

3.1 *Identify performance obligations*

HKFRS 15 requires an entity, at contract inception, to identify as a performance obligation each promise to transfer to the customer a good or service that is distinct.

HKFRS 15 states that in a contract with a customer, an entity may grant the customer an option to acquire additional goods or services. Such an option is only a separate performance obligation if the option provides a material rights that the customer would not receive without entering into that contract.

In the Scheme, customers earn 1 point ("Point") for every HK\$20 spent, with each Point redeemable for HK\$1 off purchases in the future. The Point would only be granted upon the customers spending in the store or online. The Point provides a material right to the customers that they would not receive without having purchased products from Helium. Consequently, it can be concluded that the promise to provide the Point to the customer is a separate performance obligation. There are therefore two performance obligations in the contract:

- the products; and
- the Points.

3.2 Allocate the transaction price to performance obligations

HKFRS 15 requires an entity to allocate the transaction price to performance obligations identified on a relative stand-alone selling price basis. The estimate of the stand-alone selling price for a customer's option to acquire additional goods or services reflects the discount that the customer would obtain when exercising the option, adjusted for:

- any discount that the customer could receive without exercising the option; and
- the likelihood that the option will be exercised.

Having considered customers can redeem the Point at a rate of 1 Point to HK\$1 and the estimation that only 90% of the Points would be redeemed before expiration, Helium estimates a stand-alone selling price of HK\$0.9 per Point and hence a stand-alone selling price of HK\$2.25 million (HK\$1 x 90% x 2.5 million) for the 2.5 million Points granted during the six months ending 30 June 2025.

Helium allocates the transaction price between the products and the Points on a relative stand-alone selling price basis as follows:

Performance obligation	Stand-alone selling price (HK\$'000)		Price allocation (HK\$'000)
Products	50,000	95.694%	47,847
Points	2,250	4.306%	2,153
	52,250		50,000

3.3 Recognise revenue when (or as) the entity satisfies a performance obligation

HKFRS 15 allows an entity to recognise revenue when it satisfies an identified performance obligation by transferring a promised good or service to a customer. A good or service is generally considered to be transferred when the customer obtains control. Further, HKFRS 15 defines a contract liability as an entity's obligations to transfer goods or services to a customer for which the entity has received consideration.

The portion in relation to sales of products (HK\$47.847 million) could be recognised as revenue upon satisfaction of the performance obligation which is usually the transfer of Helium's products to the customers. The portion in relation to the Points was recognised as contract liability on Helium's statement of financial position upon the sales of the products. The revenue recognition in relation to the Points would have been deferred until the satisfaction of the performance obligation which is when the Points are redeemed or when the Points expire.

During the six months ending 30 June 2025, 0.6 million Points were redeemed. Helium recognised HK\$0.574 million (0.6 million ÷ 2.25 million x HK\$2.153 million) revenue in relation to these Points, as such performance obligation was satisfied. The remaining HK\$1.579 million would remain as contract liability to be presented on Helium's statement of financial position as at 30 June 2025.

It could be seen that the revenue recognition would be changed by the introduction of the Scheme, as Helium was not able to recognise all the spending by the customers registered under the Scheme as revenue upon sales of the products. In other words, a customer has, in effect, paid in advance for future goods such that a portion of the spending which relates to the Points granted would lead to a deferral of revenue recognition

Answer 4

The greenhouse gases ("GHGs") emitted by the logistic partner occur in the company's value chain and is considered as Scope 3 GHGs, as these refer to indirect GHG emissions (i.e. not from sources that are owned or controlled by the company) and are not from generation of purchased electricity consumed by the company (and therefore not classified as Scope 2 GHGs). Depending on whether Helium's operation is material or not, the Group has to disclose the approach it uses to measure the GHGs including the measurement approach, inputs and assumptions it uses to measure its emission on a 'comply or explain' basis for financial years commencing on or after 1 January 2025, given that Galium is listed on the Main Board of the HKEx but not one of the Large Cap issuers.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

Initial measurement of the new manufacturing machinery

In accordance with HKAS 16 *Property, Plant and Equipment* para.16, the cost of an item of property, plant and equipment includes any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

In accordance with HKAS 16 para.17, examples of directly attributable costs include costs of testing whether the asset is functioning properly (i.e. assessing whether the technical and physical performance of the asset is such that it is capable of being used in the production or supply of goods or services, for rental to others, or for administrative purposes).

Hence, I agree that the costs of testing should be included as cost of property, plant and equipment as directly attributable costs.

In accordance with HKAS 16 para.20A, items may be produced while bringing an item of property, plant and equipment to the location and condition necessary for it to be capable of operating in the manner intended by management (such as samples produced when testing whether the asset is functioning properly). An entity recognises the proceeds from selling any such items, and the cost of those items, in profit or loss in accordance with applicable Standards. The entity measures the cost of those items applying the measurement requirements of HKAS 2 *Inventories*.

Testing procedures are the steps necessary to ensure the machinery is capable of operating in the manner intended by management.

When BL sells the samples produced from the testing procedures, BL should recognise revenue for the sale and expenses for inventories sold.

Hence, I disagree that the proceeds from selling the samples should be deducted from, and the costs of producing the samples were included in the cost of the machine.

In addition, in accordance with HKAS 23 *Borrowing Costs* para.1, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset.

HKAS 23 para.5 states that a qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

It is reasonable to consider that the machinery is a qualifying asset as it took more than one year to complete construction. Hence, I agree that the borrowing costs incurred can be capitalised and form part of the cost of the manufacturing machinery.

Answer 5(b)

- (i) In accordance with HKAS 2 *Inventories* para.6, net realisable value (NRV) is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

In this case, the marketing and distribution costs of HK\$4,000 per vehicle to be incurred are considered to be estimated costs necessary to make the sale, which needs to be considered in the NRV assessment.

NRV is HK\$6,000 per laptop (= HK\$10,000 – HK\$4,000), calculated as the estimated selling price less the estimated costs necessary to make the sale. Accordingly, write-down on inventories is required and the amount of write-down provided on 31 December 2024 is HK\$2,000 per laptop (= HK\$8,000 – HK\$6,000).

- (ii) In accordance with HKAS 2 para.30, estimates of NRV are based on the most reliable evidence available at the time the estimates are made, of the amount the inventories are expected to realise. These estimates take into consideration fluctuations of price or cost directly relating to events occurring after the end of the period to the extent that such events confirm conditions existing at the end of the period.

In accordance with HKAS 10 *Events after the Reporting Period* para.3, non-adjusting events are events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue that are indicative of conditions that arose after the reporting period.

The warehouse fire resulting in the damages made on the Model X laptops occurred after 31 December 2024, which does not reflect the conditions of the Model X laptops that existed on 31 December 2024.

Hence, the NRV of Model X laptops on 31 December 2024 should not be impacted by the warehouse fire.

Additional write-down of inventories due to the warehouse fire, if any, should be accounted for in the financial year ended 31 December 2025.

Answer 6(a)

HKFRS 9 *Financial Instruments* para.4.1.2 states that a financial asset shall be measured at amortised cost if both of the following conditions are met:

- (a) the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- (b) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

HKFRS 9 para.4.1.2A states that a financial asset shall be measured at fair value through other comprehensive income if both of the following conditions are met:

- (a) the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- (b) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

HKFRS 9 para.4.1.4 states that a financial asset shall be measured at fair value through profit or loss unless it is measured at amortised cost in accordance with HKFRS 9 para.4.1.2 or at fair value through other comprehensive income in accordance with HKFRS 9 para.4.1.2A.

HKFRS 9 para.B4.1.7A states that contractual cash flows that are solely payments of principal and interest on the principal amount outstanding are consistent with a basic lending arrangement. In a basic lending arrangement, consideration for the time value of money and credit risk are typically the most significant elements of interest. However, contractual terms that introduce exposure to risks or volatility in the contractual cash flows that is unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the principal amount outstanding.

HKFRS 9 para.B4.1.5 states that financial assets are measured at fair value through profit or loss if they are not held within a business model whose objective is to hold assets to collect contractual cash flows or within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets. One business model that results in measurement at fair value through profit or loss is one in which an entity manages the financial assets with the objective of realising cash flows through the sale of the assets. The entity makes decisions based on the assets' fair values and manages the assets to realise those fair values. In this case, the entity's objective will typically result in active buying and selling.

Bond A

While the interest consists of 2% on the face value per annum which appear to exhibit the feature of a basic lending arrangement, the amount of interest to be received also depends on Company X's annual net profit during the holding period which is a significant element of the investment's return. The annual net profit of Company X is a variable that is inconsistent with a basic lending arrangement because this variable is unrelated to time value of money or credit risk of Company X, but instead related to the operating performance or the value of Company X.

Accordingly, Bond A fails the solely payments of principal and interest test and is classified as at fair value through profit or loss. This conclusion is true irrespective of RSL's business model for managing that asset.

Bond B

RSL's trading division holds Bond B for the sole purpose of trading for short-term profit, which means that the objective of such business model is not achieved by collecting contractual cash flows which is only incidental to it.

Therefore, Bond B is a financial asset that is classified as at fair value through profit or loss, irrespective of whether Bond B meets the solely payments of principal and interest test or not.

Answer 6(b)

According to HKFRS 13 *Fair Value Measurement* para.72, the HKFRS establishes a fair value hierarchy that categorises into three levels the inputs to valuation techniques used to measure fair value. The fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1 inputs) and the lowest priority to unobservable inputs (Level 3 inputs).

HKFRS 13 para.73 states that in some cases, the inputs used to measure the fair value of an asset or a liability might be categorised within different levels of the fair value hierarchy. In those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

HKFRS 13 para.76 states that level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date.

The quoted price of a unit in the Fund C is a level 1 input.

The units of Fund C are issued and redeemed frequently, meaning that there exists an active market for identical assets. It is not required that there also be an active market between the investors of the financial instrument and other potential investors who are not the issuer of the fund.

The units of Fund C also have a quoted price available to the public which are published daily, based on the average redemption price for previous day's transaction. The price is unadjusted and represents the fair value of units of Fund C, as the issue and redemption are executed at the quoted price available in an active market.

Therefore, the fair value measurement of the units in Fund C is level 1.

Answer 7(a)

(i) Determine the classification of the lease

According to HKFRS 16 *Leases* para.62, a lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset.

According to HKFRS 16 para.63, examples which will normally lead to lease being classified as a finance lease include:

- the lease transfers ownership of the underlying asset to the lessee by the end of the lease term;
- at the inception date, the present value of the lease payments amounts to at least substantially all of the fair value of the underlying asset; and

RL should classify the lease of the vehicle to Customer A as a finance lease in combination of the following facts:

- The ownership of the vehicle will be transferred to Customer A at the end of lease term; and
- at inception date, the present value of the lease payments paid by Customer A (HK\$460,000) is at least substantially all of the fair value of the underlying asset (i.e. HK\$460,000/ HK\$500,000 = 92%).

(ii) Accounting treatment by RL on the lease commencement date

According to HKFRS 16 para.67, at the commencement date, a lessor shall recognise assets held under a finance lease in its statement of financial position and present them as a receivable at an amount equal to the net investment in the lease, which is defined as "the gross investment in the lease discounted at the interest rate implicit in the lease", which in turn is the sum of (a) the lease payments receivable by a lessor under a finance lease; and (b) any unguaranteed residual value accruing to the lessor.

According to HKFRS 16 para.71, at the commencement date, a manufacturer or dealer lessor shall recognise the following for each of its finance leases:

- (a) revenue being the fair value of the underlying asset, or, if lower, the present value of the lease payments accruing to the lessor, discounted using a market rate of interest;
- (b) the cost of sale being the cost, or carrying amount if different, of the underlying asset less the present value of the unguaranteed residual value; and
- (c) selling profit or loss.

According to HKFRS 16 para.74, costs incurred by a manufacturer or dealer lessor in connection with obtaining a finance lease should be recognised as an expense at the commencement date because they are mainly related to earning the manufacturer or dealer's selling profit. Such costs are excluded from the definition of initial direct costs and, accordingly, are excluded from the net investment in the lease.

RL constitutes a manufacturer lessor given that it has leased out a vehicle it has manufactured it, rather than sell it, to Customer A.

RL recognises a net investment in the lease, calculated as the sum of the present value of future lease payments and any unguaranteed residual value accruing to RL.

RL also recognises:

- revenue, being the lower of the fair value of the vehicle and the present value of future lease payments;
- cost of sales, being the cost of the vehicle less the present value of the unguaranteed residual value; and
- legal fees of HK\$20,000 as an expense because such costs incurred by manufacturer lessors are precluded from being treated as initial direct costs.

Answer 7(b)

Lease contract of manufacturing plant

According to HKFRS 16 para.20, a lessee shall reassess whether it is reasonably certain to exercise an extension option, or not to exercise a termination option, upon the occurrence of either a significant event or a significant change in circumstances that: (a) is within the control of the lessee; and (b) affects whether the lessee is reasonably certain to exercise an option not previously included in its determination of the lease term, or not to exercise an option previously included in its determination of the lease term.

According to HKFRS 16 para.21, an entity shall revise the lease term if there is a change in the non-cancellable period of a lease.

According to HKFRS 16 para.40, a lessee shall remeasure the lease liability by discounting the revised lease payments using a revised discount rate if there is a change in the lease term, as described in HKFRS 16 para.20-21.

I disagree with Joe's comments regarding the reassessment of the extension option for the lease of the manufacturing plant due to the following reasons:

- It is incorrect for Joe to mention that it is required to reassess the extension option subsequently to all significant events or changes in circumstances, including those external, purely market-based events. It is because the lessee needs only to perform such reassessment upon the occurrence of either a significant event or a significant change in circumstances that is within the control of the lessee. Hence, purely market-based events would not trigger reassessment of the extension option in determination of the lease term.
- It is incorrect for Joe to mention that when the lease term is reassessed and changed, the original discount rate is to be used when remeasuring the lease liability. It is because when lease liability is remeasured due to a change in lease term, a revised discount rate should be used to discount the revised lease payments.

Answer 7(c)

Annie violated the following fundamental principles:

- Integrity. Annie knowingly omitted relevant information and did not report to RL about her close family/ personal relationship with David when advocating for RL's acceptance of David's proposal.
- Objectivity. Annie allowed her relationship with and pressure from her cousin David to influence her professional judgement.
- Professional competence and due care. As David is less than fully qualified for the position, Annie failed to take reasonable steps to ensure David has the appropriate level of skills and experience.

Annie encountered the following threats in this case:

- Intimidation threat to compliance with the fundamental principles as Annie felt pressured to accept David's proposal.
- Self-interest threat existed as Annie served her own interests in appeasing her family members ahead of the employer company's interest.
- Familiarity threat existed as her close relationship with her cousin and other family members led her to accept David's proposal based on unjustifiable grounds.

Annie is recommended to take the following actions in order to resolve the ethical issue:

- to further discuss the matter with David and explain to him clearly that RL has a standard recruitment protocol to consider the qualification and experience of the applicants, and that his proposal would not be accepted solely because of his family ties with Annie, the position Annie is held, or the persuasion that he tried to do on Annie;
- to disclose the potential conflict of interest with relevant personnel of RL in accordance with the relevant policies;
- to request appropriate oversight over the recruitment process, and for example, continuing to perform the relevant duties under the supervision of management/ directors.
- to consider withdrawing herself from the recruitment process due to her cousin's application.

* * * END OF EXAMINATION PAPER * * *